

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$237.04 ▼ 5.57%

12M Price Target
\$285.00

52-Week Range
\$61.44 – \$329.88

Market Cap
\$212.75B

MRVL: Earnings Thursday, Google TPU Deal is the Whole Story

WHAT HAPPENED

- Stock is down 5.6% heading into a huge earnings print on Thursday (Aug 27) — this looks like nervous positioning, not fundamental bad news. When a stock rips from \$216 to \$251 in three days and then gives back \$14 the day before Nvidia earnings AND its own earnings, that's traders taking chips off the table, not smart money bailing.
- The whole story right now is the Google TPU (Tensor Processing Unit — Google's custom AI chip) partnership. Barron's is flagging it as THE talking point for earnings, meaning the market has already decided this deal makes or breaks the quarter.

WHY IT MATTERS

Here's what's really going on: MRVL is being judged as "the other custom AI chip company" next to Broadcom (AVGO), and Wall Street is trying to figure out if MRVL deserves a similar premium. The Google deal matters because it validates MRVL as a legitimate second source for hyperscaler custom silicon — if management confirms revenue ramp specifics Thursday, this stock re-rates higher fast. But the setup is dangerous: options flow shows unusual put buying at \$177.50 and \$182.50 (way below current price), meaning some big player is hedging against a nasty earnings miss. Translation: the risk/reward into Thursday is asymmetric — huge upside if Google numbers are concrete, painful downside if guidance is vague.

POLICY & POLITICAL WATCH

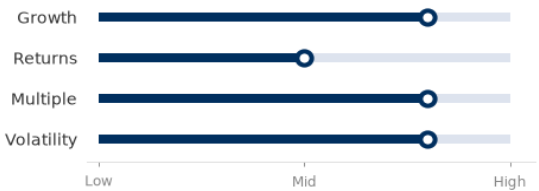
The CHIPS Act (the 2022 law that hands out federal money to semiconductor companies building in the US) remains the backbone tailwind here — MRVL benefits indirectly because its hyperscaler customers are getting subsidies to build domestic AI infrastructure. Watch the Trump administration's ongoing China export controls: the recent expansion of restrictions on advanced AI chips to China cuts both ways for MRVL — it hurts their China revenue directly, but it also pushes US hyperscalers to double-down on domestic custom silicon suppliers like MRVL and AVGO. Also on the radar: any executive action on AI infrastructure permitting (data center power/grid), because if that gets streamlined, hyperscaler capex accelerates and MRVL is a direct beneficiary.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$237.04
12M Price Target	\$285.00
Upside / (Downside)	+20.2%
Market Cap	\$212.75B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	83.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$245.00	\$200.00
6 Months	\$310.00	\$265.00	\$190.00
1 Year	\$350.00	\$285.00	\$175.00
2 Years	\$425.00	\$320.00	\$160.00
5 Years	\$600.00	\$425.00	\$180.00
10 Years	\$900.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) and Healthcare are catching a bid — this is defensive rotation ahead of Nvidia earnings and inflation data, classic "de-risk from tech" behavior. Not a great tape for MRVL today.

COOLING OFF: Semis and broader tech are quiet-to-down as everyone waits on Nvidia Wednesday night — nobody wants to be a hero before that print sets the tone for the whole AI complex.

ROTATION WATCH: Money is temporarily sitting in defensives waiting for the Nvidia + inflation data double-header. Once those clear, if Nvidia beats, expect a violent rotation back into AI names including MRVL.

RELATED PLAY: If you like MRVL's thesis but want less binary risk, look at the AI infrastructure picks-and-shovels — companies like Vertiv (VRT) for data center power/cooling, or the semiconductor equipment names (AMAT, LRCX) that sell to everyone regardless of which chip wins.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Rebounding today with analysts flagging 25% AI upside — Broadcom is the "safer" custom silicon play and gets the benefit of the doubt.
- NVDA (Nvidia): Everyone positioning for Wednesday's earnings; if they blow it out, MRVL rides the wave Thursday.

MRVL CONTEXT: MRVL is lagging AVGO today, which is normal — Broadcom is the incumbent, MRVL is the challenger. If MRVL earnings validate the Google deal Thursday, expect the valuation gap to AVGO to compress fast. That's the trade.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the long-term AI custom silicon story, but I'd be lying if I said I had high conviction 48 hours before earnings.

POSITION SIZE: Keep it 2-4% — this is a high-beta AI name with binary earnings risk. Don't oversize into Thursday.

ENTRY POINTS: If you don't own it, wait for the earnings dust to settle. A post-earnings pullback to \$215-225 would be a gift; chasing above \$260 pre-earnings is asking for pain.

TIME HORIZON: 12-18 months — the catalyst is the Google TPU revenue ramp showing up in numbers over the next 2-3 quarters.

WHEN TO BAIL: If Thursday brings a big Google deal disappointment, or if the FY27 revenue guide comes in below \$8B, cut the position. Also bail if hyperscaler capex guidance from Meta/Google/Amazon starts rolling over in Q4.

HEDGING: Simplest hedge — buy a small amount of MRVL puts a bit below current price to cap your earnings downside, or just size the position small enough that a 20% gap down doesn't ruin your week.